

VITAL FARMS INC VITL

August 03, 2026 - 10:27am EST

by

[liverpoolstocks](#)

2026 2027

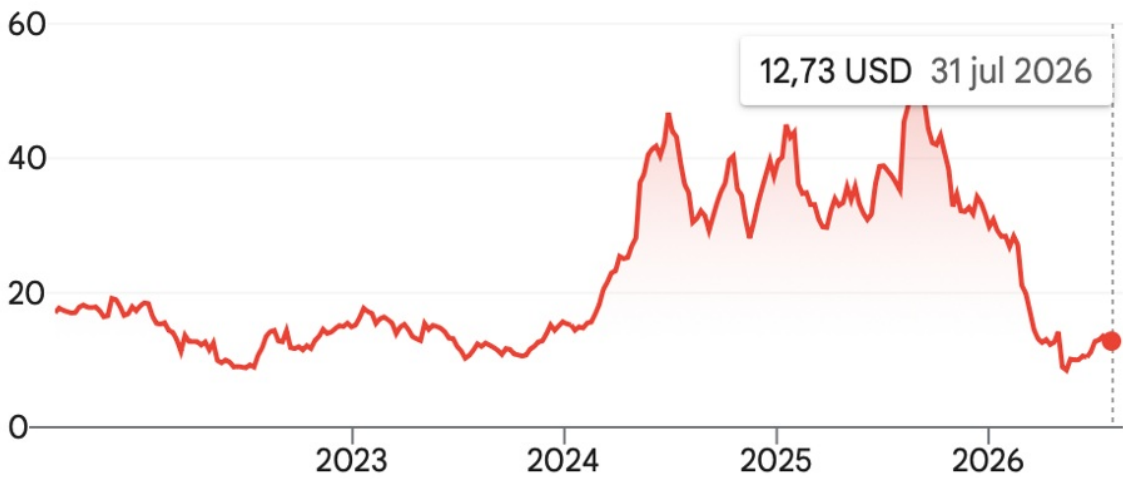
Price:	12.83	EPS	0	0
Shares Out. (in M):	45,885	P/E	0	0
Market Cap (in \$M):	588,704	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	0	TEV/EBIT	0	0

Description

Brief idea overview:

Egg producers have just enjoyed a major bull market after a 2024-25 spike in bird flu cases took out major industry supply, which coincided with a structural shift to healthier-high-protein food products. This resulted in Vital Farms achieving FY25 operating margins that were more than double the company's 7-year average. Since then, this boom cycle has subsided, and a supply deficit has turned into a surplus with Vital Farms reporting a net loss in Q1 2026 and a 10pp decline in gross margin to 28.3%. Mr Market can be an irrational weighing machine, and it has been a total shell shock (pardon the pun) to see the shares of a company with a strong brand and a top-quality business model being sold off like an AI shitco off of the back of temporary factors.

1 D | 5 D | 1 M | 6 M | YTD | 1 A | **5 A** | Máx.



Thesis 1 - Strong industry tailwinds:

The fitness and healthy eating industry is an industry with strong demand tailwinds and a forecasted growth rate of 9.6% p.a. from 2026-34. I believe this is a cultural trend that is due to physical fitness and appearance becoming a status symbol. Further to this point, the successful roll-out of GLP1s is shifting eating habits towards more nutrient-dense foods and the egg industry's demand growth has translated to Vital Farms achieving 23 consecutive quarters of volume growth since IPO.

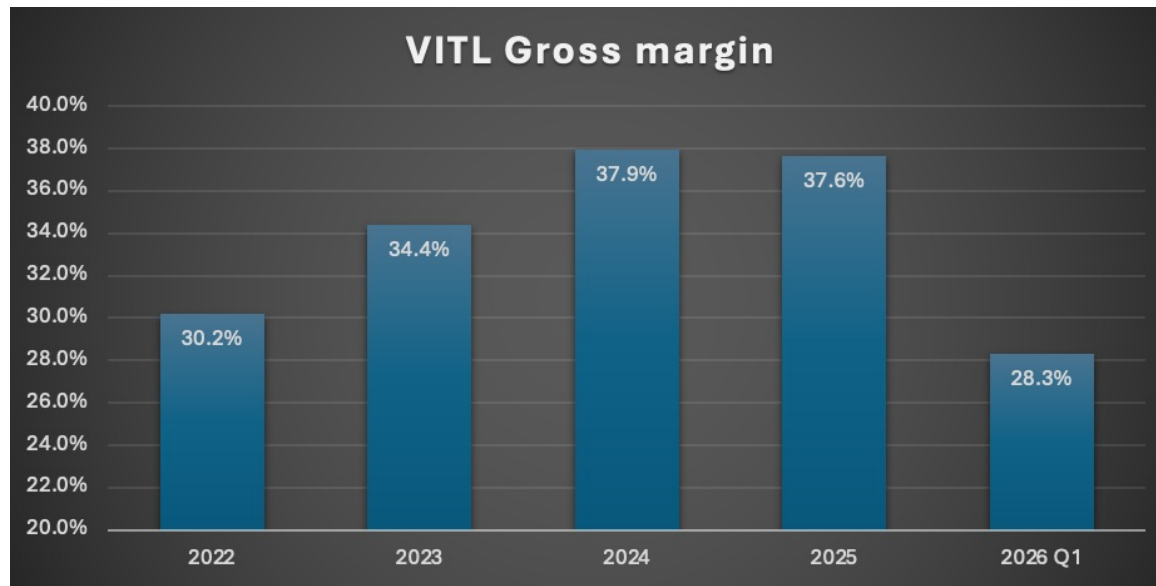
Thesis 2 – Market has overreacted to short-term problems

Vital Farms' share price is down ~60% year-to-date as there has been a seemingly concerning double-whammy of a cut in full-year guidance on the same day as the retirement of founder Matt O'Hayer from the board of directors. Upon diving into both of these occurrences, I believe investors have irrationally discarded a high-quality, growing company on unfounded fears.

Firstly, Matt O'Hayer's retirement appears to be a personal decision after achieving great success in founding and growing the Vital farms brand and it bodes well that he is stepping down into a non-employee advisory role whilst Russel Diez-Canseco will sustain the strategy and vision that O'Hayer implemented. O'Hayer currently still holds a ~15% stake in the company and perhaps he will begin to diversify his wealth and sell down his position but I believe that intrinsic value is apparent regardless.

The cut in guidance is mainly due to the volatility of egg prices and short-term factors. In 2024 and 2025, bird flu took out significant egg supply and meant that both premium, pastured-raised brands like Vital Farms as well as more common/inorganic egg brands could raise prices on to consumers. This has been reversed now as 2026 has seen a far weaker wave of bird flu has increased supply and hence lower-priced egg brands have cut prices which initially was a

headwind to Vital Farms' margins as their price gap increased, and the company have since addressed this by adjusting pricing downwards. Consequently, margins have dropped meaningfully and have led to management slashing their 2026 EBITDA forecasts from a previous mid-point guidance of \$110m to a near break-even point of \$5m.



Management have guided to a recovery towards 30% margins by Q4 2026 and 35%+ margins by 2030 and whilst these targets are optimistic and influenced by a handful of completely uncontrollable variables, I agree that margins have troughed and this can be explained by the niche characteristics of egg supply. According

to my estimates, offloading egg oversupply will lead to a one-time 360bps headwind to gross margins. Vital Farms will offload excess inventory at low or no revenue because eggs have short expiry dates which naturally gives the company less headroom to wait for market conditions to improve and value of inventory to recover. Consequently, the current egg oversupply will be worked through quickly and this is baked into both management's guide to >30% gross margins in Q4 2026 and my forward-looking projections.

Valuation:

Vital Farms' volume growth, revenue growth (3.5x from FY20-25) and earnings growth (5.3x from FY20-25) has been phenomenal since IPO and whilst growth should moderate to some extent, my assumptions assume EPS nearly tripling from FY25-30.

Based on a 16% p.a. revenue growth until 2030 and an expansion in gross margins to 35%, I believe that Vital Farms can achieve 2030 EPS of \$4.2 which is an earnings yield of >30% on the current share price. My DCF model yields as 38% margin of safety based on assumptions shown in the appendix. Overall, this discount to my appraised intrinsic value for a growing, high-quality US consumer brand represents a strong risk-reward and the prospect of above-market returns.

in \$1000 (except per share)	VITAL FARMS (VITL)														
year	2018	2019	2020	2021	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031	
Revenue	\$ 106,713	\$ 140,733	\$ 214,280	\$ 260,901	\$ 362,050	\$ 471,857	\$ 606,307	\$ 759,444	\$ 880,955.04	\$ 1,021,908	\$ 1,185,413	\$ 1,375,079	\$ 1,595,092	\$ 1,850,307	
% yoy growth		31.9%	52.3%	21.8%	38.8%	30.3%	28.5%	25.3%	16%	16%	16%	16%	16%	16%	
Gross profit	\$ 34,819	\$ 42,877	\$ 74,528	\$ 82,899	\$ 109,444	\$ 162,326	\$ 229,926	\$ 285,682	\$ 268,691	\$ 327,011	\$ 391,186	\$ 467,527	\$ 558,282	\$ 647,607	
Gross margi	32.6%	30.5%	34.8%	31.8%	30.2%	34.4%	37.9%	37.6%	31%	32%	33%	34%	35%	35%	
Operating ex	\$ 28,052	\$ 39,527	\$ 62,300	\$ 82,847	\$ 107,340	\$ 129,072	\$ 166,374	\$ 197,309	\$ 876,550	\$ 981,032	\$ 1,114,288	\$ 1,251,322	\$ 1,403,681	\$ 1,609,767	
Operating inc	\$ 6,767	\$ 3,350	\$ 12,228	\$ 52	\$ 2,104	\$ 33,254	\$ 63,552	\$ 88,373	\$ 4,404.78	\$ 40,876.31	\$ 71,124.79	\$ 123,757.13	\$ 191,411.02	\$ 240,539.85	
operating m	6.3%	2.4%	5.7%	0.0%	0.6%	7.0%	10.5%	11.6%	0.5%	4.0%	6.0%	9.0%	12.0%	13.0%	
Other income	\$ (115)	\$ 1,986	\$ (974)	\$ 302	\$ 727	\$ (1,893)	\$ 3,896	\$ 2,891	\$ 1,000	\$ 1,090	\$ 1,000	\$ 1,000	\$ 1,000	\$ 1,000	
Pre-tax profit	\$ 6,352	\$ 4,418	\$ 11,654	\$ 354	\$ 2,831	\$ 32,201	\$ 67,538	\$ 91,264	\$ 5,405	\$ 41,876	\$ 72,125	\$ 124,757	\$ 192,411	\$ 241,540	
(-) Income tax	\$ 723	\$ 1,106	\$ 2,770	\$ (2,028)	\$ 1,801	\$ 6,835	\$ 14,150	\$ 24,982	\$ 1,135	\$ 8,794	\$ 15,146	\$ 26,199	\$ 40,406	\$ 50,723	
income tax ra	11%	25%	24%	-573%	57%	21%	21%	27%	21%	21%	21%	21%	21%	21%	
Net income	\$ 5,629	\$ 3,312	\$ 8,884	\$ 2,382	\$ 1,230	\$ 25,566	\$ 53,388	\$ 66,282	\$ 4,270	\$ 33,082	\$ 56,979	\$ 98,558	\$ 152,005	\$ 190,816	
Diluted share	35,258,594	36,071,015	32,914,653	43,321,733	43,469,586	43,312,836	45,127,128	46,019,607	45,885,968	44,853,535	43,115,356	40,225,271	36,066,718	31,386,040	
EPS	\$ 0.16	\$ 0.09	\$ 0.27	\$ 0.05	\$ 0.03	\$ 0.59	\$ 1.18	\$ 1.44	\$ 0.09	\$ 0.74	\$ 1.32	\$ 2.45	\$ 4.21	\$ 6.08	
CASH FLOW															
cash flow fro	\$ 7,666	\$ 6,262	\$ 13,943	\$ 10,362	\$ 12,711	\$ 40,908	\$ 95,127	\$ 162,076	\$ 46,889	\$ 78,520	\$ 105,687	\$ 151,060	\$ 208,907	\$ 252,823	
depreciation	\$ 1,417	\$ 1,921	\$ 2,550	\$ 3,540	\$ 5,441	\$ 7,925	\$ 13,093	\$ 19,844	\$ 17,619.10	\$ 20,438.16	\$ 23,708.26	\$ 27,501.58	\$ 31,901.84	\$ 37,006.13	
as % of sale	1.3%	1.4%	1.2%	1.4%	1.5%	1.7%	2.2%	1.8%	2%	2%	2%	2%	2%	2%	
capex	\$ 1,949	\$ 4,799	\$ 10,330	\$ 18,771	\$ 10,468	\$ 11,538	\$ 28,646	\$ 81,950	\$ 74,881	\$ 71,534	\$ 35,562	\$ 41,252	\$ 47,853	\$ 55,509	
as % of sale	1.8%	3.4%	4.8%	6.4%	2.9%	2.4%	4.7%	10.8%	9%	7%	3%	3%	3%	3%	
share-based	\$ 600.00	\$ 1,029.00	\$ 2,509.00	\$ 4,440.00	\$ 6,040.00	\$ 7,417.00	\$ 28,646.00	\$ 81,950.00	\$ 25,000.00	\$ 25,000.00	\$ 25,000.00	\$ 25,000.00	\$ 25,000.00	\$ 25,000.00	
net change ir	\$ 2,692	\$ 12,238	\$ 3,892	\$ 8,214	\$ 24,176	\$ 2,493	\$ 16,217	\$ 76,311	\$ 61,648	\$ 22,200	\$ 24,117	\$ 26,079	\$ 44,003	\$ 51,043	
as % of sale	-2.5%	8.7%	1.8%	-3.1%	6.7%	-0.5%	2.7%	10.0%	7.0%	2.2%	2.0%	1.9%	2.8%	2.8%	
Assumed market capitalisation															
									\$ 588,130,577	\$ 588,130,577	\$ 588,130,577	\$ 588,130,577	\$ 588,130,577	\$ 588,130,577	
Assumed buyback price									\$ 12.78	\$ 12.82	\$ 13.11	\$ 13.64	\$ 14.62	\$ 16.31	
Shares acquired									133639	1032432	1738179	2890085	4158553	4680678	
Buyback									\$ -	\$ 14,289	\$ -	\$ -	\$ -	\$ -	
buyback pa									0.0%	431.4%	0.0%	0.0%	0.0%	0.0%	
BALANCE SHEET															
cash & cash equivalents (inc									\$ 1,274	\$ 97,901	\$ 99,587	\$ 78,728	\$ 116,816	\$ 160,293	\$ 113,351
Current assets									\$ 34,650	\$ 137,256	\$ 141,208	\$ 149,614	\$ 195,524	\$ 246,041	\$ 262,550
Total Assets									\$ 61,948	\$ 171,374	\$ 189,942	\$ 214,666	\$ 275,178	\$ 359,332	\$ 518,738
Gross debt (including lease l									\$ 5,056	\$ 798	\$ 327	\$ 12,089,485	\$ 22,564	\$ 18,710	\$ 53,491
Net debt									\$ 3,782	\$ (97,103)	\$ (99,260)	\$ 12,010,757	\$ (94,252)	\$ (141,583)	\$ (69,860)
Total liabilities									\$ 30,099	\$ 28,888	\$ 38,182	\$ 56,334	\$ 82,501	\$ 90,030	\$ 167,478
of which : current									\$ 24,997	\$ 25,914	\$ 37,990	\$ 47,652	\$ 65,221	\$ 78,529	\$ 121,578
Net working capital									\$ 9,653	\$ 111,342	\$ 103,218	\$ 101,962	\$ 130,303	\$ 187,512	\$ 149,972
as % of sales									6.9%	52.0%	39.6%	28.2%	27.6%	27.6%	18.6%
Inventories									\$ 12,947	\$ 12,902	\$ 10,945	\$ 26,849	\$ 32,895	\$ 23,666	\$ 66,495
as % of sales									9.2%	9.2%	6.0%	4.2%	7.4%	7.0%	3.9%

Year	2022	2023	2024	2025	2026	2027	2028	2029	2030	2031
Revenues	\$ 362,050	\$ 471,857	\$ 606,307	\$ 759,444	\$ 880,955	\$ 1,021,908	\$ 1,185,413	\$ 1,375,079	\$ 1,595,092	\$ 1,850,307
% yoy growth		30.3%	28.5%	25.3%	16.0%	16.0%	16.0%	16.0%	16.0%	16.0%
Gross profit	\$ 109,444	\$ 162,326	\$ 229,926	\$ 285,682	\$ 268,691	\$ 327,011	\$ 391,186	\$ 467,527	\$ 558,282	\$ 647,607
gross margin	30.2%	34.4%	37.9%	37.6%	30.5%	32.0%	33.0%	34.0%	35.0%	35.0%
Operating pro	\$ 2,104	\$ 33,254	\$ 63,552	\$ 88,373	\$ 4,405	\$ 40,876	\$ 71,125	\$ 123,757	\$ 191,411	\$ 240,540
operating m	0.6%	7.0%	10.5%	11.6%	0.5%	4.0%	6.0%	9.0%	12.0%	13.0%
(-) Income Ta	1601	6635	14150	24982	\$ 1,135	\$ 8,794	\$ 15,146	\$ 26,199	\$ 40,406	\$ 50,723
NOPAT	\$ 503	\$ 26,619	\$ 49,402	\$ 63,391	\$ 3,270	\$ 32,082	\$ 55,979	\$ 97,558	\$ 151,005	\$ 189,816
(+) Deprecia	\$ 5,441	\$ 7,925	\$ 13,093	\$ 13,844	\$ 17,619	\$ 20,438	\$ 23,708	\$ 27,502	\$ 31,902	\$ 37,006
(-) Capex	\$ 10,468	\$ 11,538	\$ 28,646	\$ 81,950	\$ 74,881	\$ 71,534	\$ 35,562	\$ 41,252	\$ 47,853	\$ 55,509
(-) net chang	\$ 24,176	\$ (2,493)	\$ 16,217	\$ 76,311	\$ 61,648	\$ 22,200	\$ 24,117	\$ 26,079	\$ 44,003	\$ 51,043
Unlevered FC	\$ (28,700)	\$ 25,499	\$ 17,632	\$ (81,026)	\$ (115,640)	\$ (41,213)	\$ 20,007	\$ 57,728	\$ 91,051	\$ 120,270
Discounted unlevered FCF					\$ (105,127)	\$ (34,060)	\$ 15,032	\$ 39,429	\$ 56,536	\$ 67,890

Terminal value										
Discount rate					10%	10%	10%	10%	10%	10%
Discount factor					0.91	0.83	0.75	0.68	0.62	0.56
Sum of discounted cash flows				\$ 39,699						
Terminal value				\$ 865,592						
Implied enterprise value				\$ 905,290						
Implied equity value				\$ 965,150						
Intrinsic value/share				\$ 20.97						
Current share price				\$ 12.78						
Implied upside				64.1%						

I do not hold a position with the issuer such as employment, directorship, or consultancy.
I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Normalisation of egg prices

2027 margin improvements

Messages

No messages